

1 Agroforestry SmartAgroforst: Poplar biomass modelling

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3 Abstract

Short-rotation agroforestry systems are increasingly promoted as a low-carbon feedstock option for bio-based value chains, but their economic viability depends on coordinated decisions on stand establishment, multi-cycle harvesting, and product cascading in spatially distributed supply chains. This paper develops a mixed-integer linear programming (MILP) model for the integrated design and operation of an agroforestry biomass supply chain with explicit age-lag constraints that link consecutive harvests at each site. The formulation couples allometric yield functions for different biomass types with a multi-product, multi-period network design model including storage, processing, and product quality cascades. The model is applied to a stylised case study of Central European poplar-based alley-cropping systems to explore trade-offs between harvest rotation length, product portfolios, and infrastructure configuration. We outline a computational experimentation plan to test the impact of allometric parameter uncertainty, price scenarios, and policy incentives on the optimal deployment of agroforestry systems in cleaner bioeconomy pathways.

4 *Keywords:* Agroforestry, Short-rotation coppice, Biomass supply chain, Product
5 cascading

6 1. Introduction

7 Agroforestry systems that integrate trees with agricultural crops (silvoarable systems)
8 are increasingly recognised as a promising land-use option to reconcile climate mitigation,
9 biodiversity conservation, and rural income generation on the same hectare of land (Toens-
10 meier, 2017). Temperate agroforestry systems (AFS) based on fast-growing species such

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11 as poplar, willow, alder, and black locust can deliver substantial biomass yields while im-
12 proving soil quality and providing multiple ecosystem services compared to conventional
13 monocultures (Huber et al., 2018). Biomasses produced in AFS is considered as a sus-
14 tainable feedstock and can be used either energetically, chemically or materially (e.g. in
15 the building sector). The latter two options are generally preferred over the energetic
16 usage from a cleaner production perspective as biogenic carbon is stored in products
17 during their life span which contributes to climate change mitigation.

18 Despite substantial research on ecological advantages and pioneering initiatives to
19 establish AFS in practice, the share of AFS in agricultural production systems is still
20 small. E.g. in Germany about 1200 hectares of silvoarable AFS are established in 2025,
21 which accounts for about 0.02% of total agricultural land use [DEFAP]. One of the core
22 challenges in establishing AFS systems at large scale in practice is a lack of opportunities
23 to generate substantial revenues from woody biomasses of AFS. On the other side, the
24 rise of bioeconomy creates substantial demands for woody biomass and requires a reliable
25 and cost-efficient feedstock supply. As woody biomasses are bulky feedstocks with low
26 energy density, the design of cost-efficient supply chains is crucial to ensure the economic
27 viability of AFS-based value chains. This requires coordinated decisions on stand estab-
28 lishment, multi-cycle harvesting, and product cascading in spatially distributed supply
29 chains, which can be supported by integrated optimisation models that link stand-level
30 growth dynamics to regional supply chain design.

31 In the last two decades, a large body of research has analysed biomass supply chains
32 for bioenergy and biorefineries using mathematical programming models, often in the
33 form of mixed-integer linear programming (MILP) (Zahraee et al., 2020; Sharma et al.,
34 2013). These models typically optimise network configuration, feedstock sourcing, and
35 logistics under cost or profit objectives. They often treat biomass availability as an exoge-
36 nous input or rely on simplified agricultural production decisions. Moreover, downstream
37 processing of biomasses is concentrated on one particular value chain e.g. bioenergy plants
38 consuming all produced biomasses. Recent work has started to integrate operational de-
39 tails such as various biomass types, biomass growth models and regeneration processes
40 in multi-period supply chain models.

41 The present paper contributes to this literature in four ways. First, we propose

a novel MILP formulation for AFS-based biomass supply chain design that explicitly links establishment decisions and consecutive harvest decisions, ensuring that harvesting decisions at each site are consistent with minimum and maximum rotation ages. Second, we embed allometric yield functions for different biomass types generating age-specific yields for different woody biomass types (like stems, branches, or leaves and twigs). Third, these different woody biomass types can be processed in specific downstream industries, like chemical or paper industry as well as energy sector. The model aims to provide strategic decision support for establishing regional AFS-based bioeconomy ecosystems connecting multiple industries and product markets.

The remainder of the paper is structured as follows. Section 2 reviews the relevant literature on agroforestry biomass systems, allometric biomass modelling, and biomass supply chain optimisation. Section 3 summarises the MILP formulation for the agroforestry supply chain with age-lag constraints. Section ?? outlines the planned computational experiments for the case study and discusses expected insights for cleaner production strategies.

2. Literature review

Agroforestry biomass systems, stand-level growth models, and biomass supply chain optimisation have each been studied extensively, but they are rarely combined in an integrated framework that links age-dependent stand dynamics to regional product-cascading value chains (Zahraee et al., 2020; Sharma et al., 2013; Espinoza et al., 2017). This section reviews (i) agroforestry systems with emphasis on system types, economics, and the cascading use of biomass as the primary revenue driver; (ii) biomass growth models at tree and stand level with explicit attention to the allometric–diameter–stand-biomass pathway; and (iii) biomass supply chain design using mathematical programming. The section concludes by identifying the modelling gap addressed in this paper.

2.1. Agroforestry systems

Agroforestry deliberately integrates woody perennials with crops and/or livestock on the same management unit, with the aim of enhancing productivity, profitability, and environmental performance (Nair, 1993; Toensmeier, 2017). In the temperate zone, three

71 distinct system types can be distinguished based on the spatial arrangement of trees and
72 the rotation length at which woody biomass is harvested.

73 **Short-rotation coppice (SRC)** is defined as a monoculture plantation of fast-
74 growing woody species covering the entire management unit, with planting densities
75 of 8,000–20,000 cuttings $\cdot\text{ha}^{-1}$. After each harvest the root system regenerates without
76 replanting. Rotation cycles are typically 3–7~years and total stand lifetime is 20–25~years
77 (Trnka et al., 2008; Faasch and Patenaude, 2012). SRCs are no AFSs in the narrow sense,
78 but it is helpful to benchmark biomass production.

79 **Short-rotation agroforestry systems (SRAFS)** integrate SRC-type tree strips
80 (typically 1–4 rows of the same fast-growing species like poplar or willow) into an otherwise
81 arable field in an alley-cropping arrangement. Crop production continues in the inter-
82 row strips (Huber et al., 2018; Graves et al., 2007). Thus, tree strips typically cover
83 10–30% of the total parcel area. Rotation lengths and total stand lifetime in SRAFS are
84 comparable to SRCs. In SRAFS all trees are effectively edge trees, exposed to higher light
85 and water availability than interior SRC trees. This boundary effect raises individual-tree
86 biomass accumulation but also intensifies competition with adjacent crop rows (Huber
87 et al., 2018).

88 **Long-rotation agroforestry systems (LRAFS)** use the same alley-cropping spa-
89 tial structure as SRAFS but with rotation cycles of 12–15~years or longer (Graves et al.,
90 2007; Nair, 1993). At this rotation length, individual trees develop substantial stem di-
91 ameters and the proportion of high-value timber increases markedly, enabling premium
92 material uses (veneer, sawlogs, engineered wood products) that are inaccessible in short-
93 rotation systems. Therefore, often timber-quality tree species (such as walnut, cherry,
94 oak, or high-grade poplar clones) are planted.

95 SRAFS and LRAFS are not clearly differentiated in practice. First, a clear cut-off age
96 is hard to define and, mor importantly, the intended use of AFS biomass is not always
97 clear and can also change over time. Nonetheless, when establishing AFS, the structure
98 of AFS and its intended use after harvest drives planting decisions and, subsequently,
99 economic viability. Thus, in the present paper SRAFS and LRAFS are not considered as
100 separate AFS systems, but the interplay of intended use, establishment, and harvesting
101 decisions is analysed.

2.1.1. *Economic rationale of landowners*

The decision of a landowner to establish an AFS involves weighing substantial up-front costs and long-term opportunity costs against a diversified revenue stream. On the **cost side**, establishment requires site preparation, planting material, and planting labour, typically amounting to 1,500–3,500 €/ha for SRC or SRAFS (Faasch and Patenaude, 2012; Testa et al., 2014). Recurrent harvest and refitting costs (machine hire, chipping, transport to roadside) add approximately 200–400 €/ha per rotation depending on stand density and equipment availability (Testa et al., 2014; Spinelli et al., 2009). During the rotation, maintenance cost of AFS arise on a yearly basis. Next to expenses for establishment, maintenance and harvesting, opportunity cost arise as no revenues from crops are generated on tree strips. In regions with fertile soils and high cereal prices, yearly crop revenues may sum up to 400–600 €/ha (Faasch and Patenaude, 2012; Graves et al., 2007). Thus, opportunity cost are often the dominant cost driver in SRAFS profitability analyses.

On the **benefit side**, the primary revenue of AFS is the sale of harvested woody biomass, whose magnitude depends critically on rotation length, species, and site productivity. For poplar-based SRAFS in Central Europe, typical yields range from 10 to 25 t of dry matter biomass per ha for typical rotation lengths (Huber et al., 2018; Niemczyk and Thomas, 2021). Additionally, positive crop-yield effects in the inter-row strips of SRAFS and LRAFS may result. Tree rows act as windbreaks, reducing soil erosion and evapotranspiration; they provide partial shading that moderates heat stress during drought years; and their root systems may improve water retention in the topsoil (Graves et al., 2007; Grünwald et al., 2007). Empirical measurements in Central European alley-cropping trials indicate that these microclimate effects can increase cereal yields in adjacent strips by 5–15% relative to open-field controls, partially or fully compensating the loss of arable area occupied by the tree strips (Graves et al., 2007). Beyond direct yield effects, AFS deliver broader ecosystem services (like soil organic matter accumulation, carbon sequestration, biodiversity enhancement) that may lead to agri-environment subsidies and carbon credits (Toensmeier, 2017; Faasch and Patenaude, 2012).

Nonetheless, economic attractiveness of AFS depends primarily on revenues of AFS

133 biomass. Thereby, revenues are different for the types of biomass and in which value
 134 chain it is used. Often AFS biomasses are used energetically, i.e. for heat and power
 135 generation, or anaerobic digestion, which typically creates low prices per tonne of biomass.
 136 Alternatively, woody parts of the biomass (i.e., the stem and large branches) can also
 137 be used as pulp and paper grade material as well as feedstock for chemical industry
 138 or as timber achieving higher prices (Lamers et al., 2011; De Meyer et al., 2014). Thus,
 139 fostering AFS establishment by maximizing economic returns from AFS biomass requires
 140 a strategic approach to product cascading that allocates different biomass fractions to
 141 the highest-value applications, while ensuring that the rotation length is aligned with
 142 the growth dynamics of the stand and the market demand for different biomass types
 143 (Lamers et al., 2011).

144 Thus, for making educated decisions on AFS establishment and harvesting, the ex-
 145 pected biomass quantities at harvest for stem, branches, and residues need to be esti-
 146 mated. Thereby, the shares of the biomass types change with stand age. E.g.~the share
 147 of stem weight rises from roughly 55% at age 4 to over 75% at age 10 (Huber et al., 2018;
 148 Testa et al., 2014). Therefore, in Section 2.2 growth modelling approaches are reviewed
 149 that capture the age-dependent growth dynamics of different biomass types in AFS.

150 *2.2. Biomass growth models*

151 Reliable estimation of stand-level biomass quantities and their age-dependent compo-
 152 sition is a necessary prerequisite for any strategic analysis of AFS-based supply chains.
 153 Individual-tree biomass is commonly approximated by species-specific allometric power
 154 laws relating shoot dry matter to stem base diameter, and these relationships have been
 155 calibrated for Central European poplar clones under SRC and SRAFS conditions (Huber
 156 et al., 2016, 2018). For supply chain planning, however, the relevant quantity is **stand-**
 157 **level biomass per hectare** over a multi-decade rotation horizon, which requires a
 158 temporal growth model that captures the characteristic sigmoidal accumulation trajec-
 159 tory of woody biomass.

160 *2.2.1. Stand-level growth model*

161 Stand-level aboveground and belowground dry biomass per hectare, $M^{sl}(t)$, accumu-
 162 lates in a right-skewed sigmoidal pattern with a relatively early inflection point, driven

Table 1: Notation for the biomass growth and harvest yield models.

Symbol	Description
$M^{sl}(t)$	Total above- and belowground dry biomass per ha of AFS (t DM ha ⁻¹) at stand age t
$A(N)$	Stand-level Gompertz asymptote (t DM ha ⁻¹); density- and site-dependent
k	Gompertz growth-rate coefficient (yr ⁻¹)
t_0	Inflection age of stand biomass accumulation (yr)
N	Stand density (trees ha ⁻¹)
C_{site}	Site-quality constant (kg ha ^{β-1}); conservative: 4 475, good site: 6 471
β	Competition-density exponent; fitted $\hat{\beta} = 0.380$
ϕ_{ag}	Aboveground fraction of total stand biomass; $\phi_{\text{ag}} = 0.89$
$M^{ag}(t)$	Aboveground dry biomass per ha (t DM ha ⁻¹) at age t
$f_p(t)$	Fraction of AGB attributed to compartment $p \in \{s, b, r\}$ at age t
α_p, δ_p	Intercept and slope of the linear fraction model for compartment p
$q_p(t)$	Merchantable fraction of compartment p biomass at age t (logistic)
r_p	Logistic growth rate for merchantability of compartment p
$t_{50,p}$	Age at which 50% of compartment p biomass is merchantable (yr)
$Y_p(t)$	Merchantable dry biomass of compartment p per ha at harvest age t (t DM ha ⁻¹)
ω	Moisture content at felling (mass fraction); $\omega = 0.55$

by rapid juvenile shoot growth followed by self-thinning and competitive deceleration as canopy closure intensifies (Niemczyk and Thomas, 2021; Testa et al., 2014). This trajectory is described by a Gompertz model:

$$M^{sl}(t) = A(N) \cdot \exp(-\exp(-k(t - t_0))), \quad (1)$$

where t_0 is the age of maximum instantaneous biomass increment and k determines how quickly the stand approaches its site-specific asymptote $A(N)$. For Central European poplar under medium-rotation AFS management (10–20 yr), calibration against empirical data from Huber et al. (2018), Niemczyk and Thomas (2021), and Jha (2018) yields $k = 0.194, \text{yr}^{-1}$ and $t_0 = 9.7, \text{yr}$ for a conservative site, and $k = 0.173, \text{yr}^{-1}$, $t_0 = 10.1, \text{yr}$ for a high-productivity site, placing the growth peak close to the biologically optimal rotation age identified by Niemczyk and Thomas (2021).

173 *2.2.2. Density-dependent asymptote*

174 The asymptote $A(N)$ is not a fixed species constant but depends explicitly on planting
175 density through a competition-density power law (?):

$$A(N) = \frac{C_{\text{site}} \cdot N^{1-\beta}}{1000}, \quad (2)$$

176 where C_{site} encodes site quality and β is the competition exponent. Equivalently, the
177 per-tree asymptote $A_{\text{tree}}(N) = A(N) \cdot 1000/N = C_{\text{site}} \cdot N^{-\beta}$ decreases with density as
178 individual trees have access to less growing space. Fitting (2) to two anchor points —
179 a conservative AFS calibration at 113 trees,ha⁻¹ (central EU; $A = 84, \text{t,DM,ha}^{-1}$) and
180 SRC data at 1,333 trees,ha⁻¹ from Niemczyk and Thomas (2021) — yields $\hat{\beta} = 0.380$,
181 consistent with the 0.3–0.5 range reported for managed hardwood plantations (?). Two
182 site-quality scenarios are used throughout: a **conservative scenario** ($C_{\text{site}} = 4\,475$, 113
183 trees,ha⁻¹, $A = 84, \text{t,DM,ha}^{-1}$) representative of sandy loam soils in northern Central
184 Europe, and a **good-site scenario** ($C_{\text{site}} = 6\,471$, 139 trees,ha⁻¹, $A = 138, \text{t,DM,ha}^{-1}$)
185 representative of deep loamy soils in river valleys.

186 *2.2.3. Aboveground biomass and compartment fractions*

187 Aboveground biomass (AGB) is obtained from total stand biomass by applying a
188 constant aboveground fraction, $\phi_{\text{ag}} = 0.89$, derived from root-to-shoot measurements in
189 poplar AFS trials (Jha, 2018):

$$M^{\text{ag}}(t) = \phi_{\text{ag}} \cdot M^{\text{sl}}(t). \quad (3)$$

190 For supply chain modelling, AGB is disaggregated into three functionally distinct com-
191 partments: merchantable stem ($p = s$), merchantable branches ($p = b$), and fine residues
192 ($p = r$). Empirical measurements in poplar SRC and AFS systems document a consistent
193 age-driven shift: the stem fraction rises from roughly 55% at age~4 to over 77% at age~13,
194 while branch and residue shares decline as secondary radial stem growth progressively
195 dominates (Huber et al., 2018; Testa et al., 2014; Jha, 2018). Over the medium-rotation
196 window (3–20 yr) this shift is well approximated by linear functions:

$$f_p(t) = \frac{\alpha_p + \delta_p t}{\sum_{p'} (\alpha_{p'} + \delta_{p'} t)}, \quad (4)$$

8

where the unnormalised coefficients are anchored to three empirical observations from Civitarese et al. (2019) (ages 3, 6, 9~yr) and Jha (2018) (age 13~yr): $(\alpha_s, \delta_s) = (0.8396, -0.00524)$, $(\alpha_b, \delta_b) = (0.0562, +0.00643)$, $(\alpha_r, \delta_r) = (0.1042, -0.00119)$. The normalisation in (4) ensures $\sum_p f_p(t) = 1$ at all ages and absorbs measurement inconsistencies across sources.

2.2.4. Diameter-class merchantability

Within each compartment, only the biomass fraction whose element diameter exceeds a minimum threshold qualifies as merchantable product for industrial use. This fraction rises continuously with stand age as stems thicken and branches coarsen, and is modelled by a logistic function:

$$q_p(t) = \frac{1}{1 + \exp(-r_p(t - t_{50,p}))}, \quad (5)$$

where $t_{50,p}$ is the age at which 50% of compartment p biomass surpasses the diameter threshold. For the merchantable stem (threshold $d > 15$,cm), calibration to data from Civitarese et al. (2019) and Niemczyk and Thomas (2021) yields $r_s = 0.467$,yr⁻¹ and $t_{50,s} = 8.19$,yr. For merchantable branches (threshold $d > 7$,cm at insertion), Civitarese et al. (2019) and Jha (2018) imply $r_b = 0.698$,yr⁻¹ and $t_{50,b} = 7.55$,yr.

2.2.5. Harvest yield

Combining equations (1)–(5), the merchantable dry biomass yield of compartment p per hectare at harvest age t is:

$$Y_p(t) = q_p(t) \cdot f_p(t) \cdot M^{ag}(t), \quad (6)$$

with all non-merchantable fractions aggregated into the residue stream. Fresh-weight yields at felling are obtained from dry matter yields via $Y_p^{fw} = Y_p/(1 - \omega)$, where the moisture content at felling $\omega = 0.55$ is taken from Civitarese et al. (2019). Figure~1 illustrates the shapes of $A(N)$, $f_p(t)$, and $q_p(t)$; Figure~2 shows the resulting stacked AGB component trajectories compared with empirical observations.

2.3. Biomass supply chain design

Biomass supply chain design problems have been extensively studied in literature (Zahraee et al., 2020; Sharma et al., 2013; Espinoza et al., 2017). Most models jointly

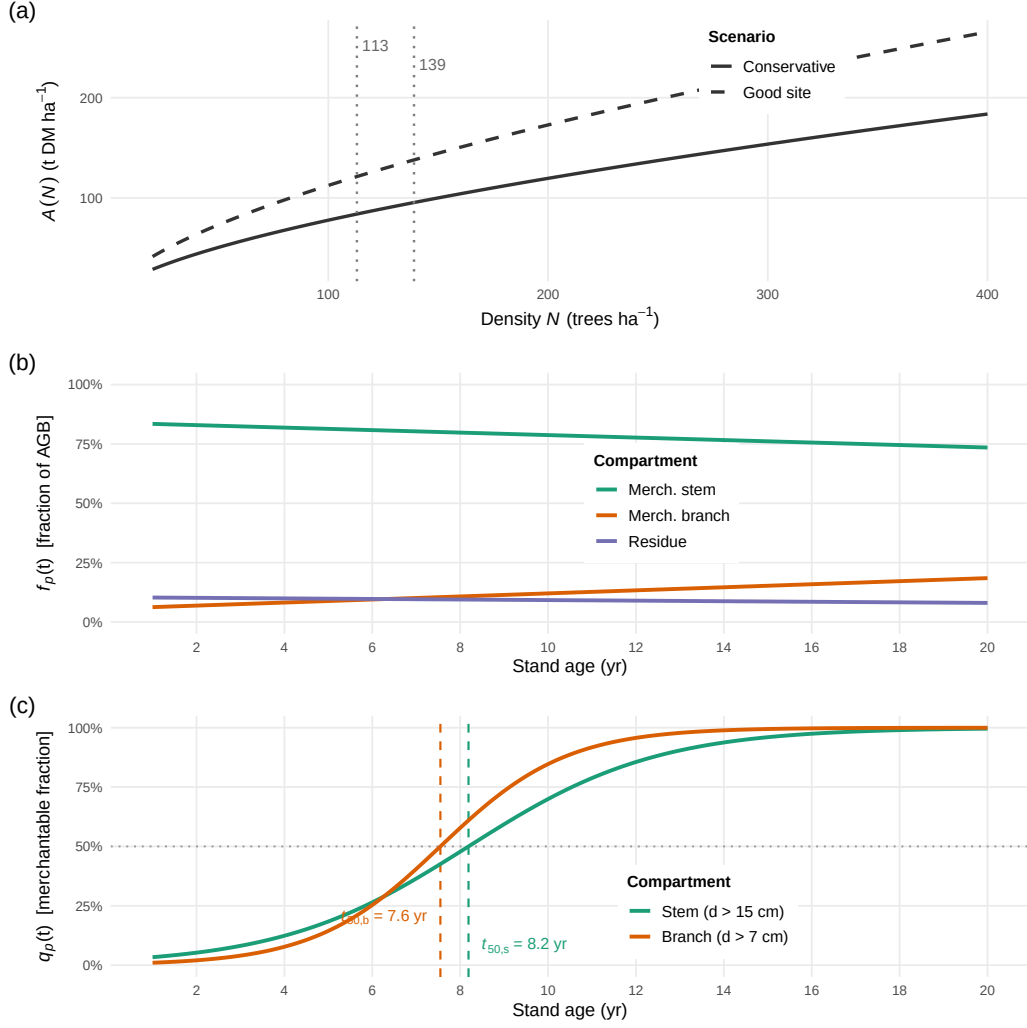


Figure 1: Functional building blocks of the AFS biomass model. **(a)** Stand-level Gompertz asymptote $A(N)$ as a function of planting density for the conservative (solid) and good-site (dashed) scenarios; dotted vertical lines mark the two reference densities (113 and 139 trees ha⁻¹). **(b)** Linear compartment fractions $f_p(t)$ for merchantable stem (green), merchantable branches (orange), and residues (purple) over stand age. **(c)** Logistic diameter-class merchantability functions $q_p(t)$ for stem ($d > 15$ cm, green) and branches ($d > 7$ cm, orange); the 50% threshold ages t_{50} are indicated by dashed vertical lines.

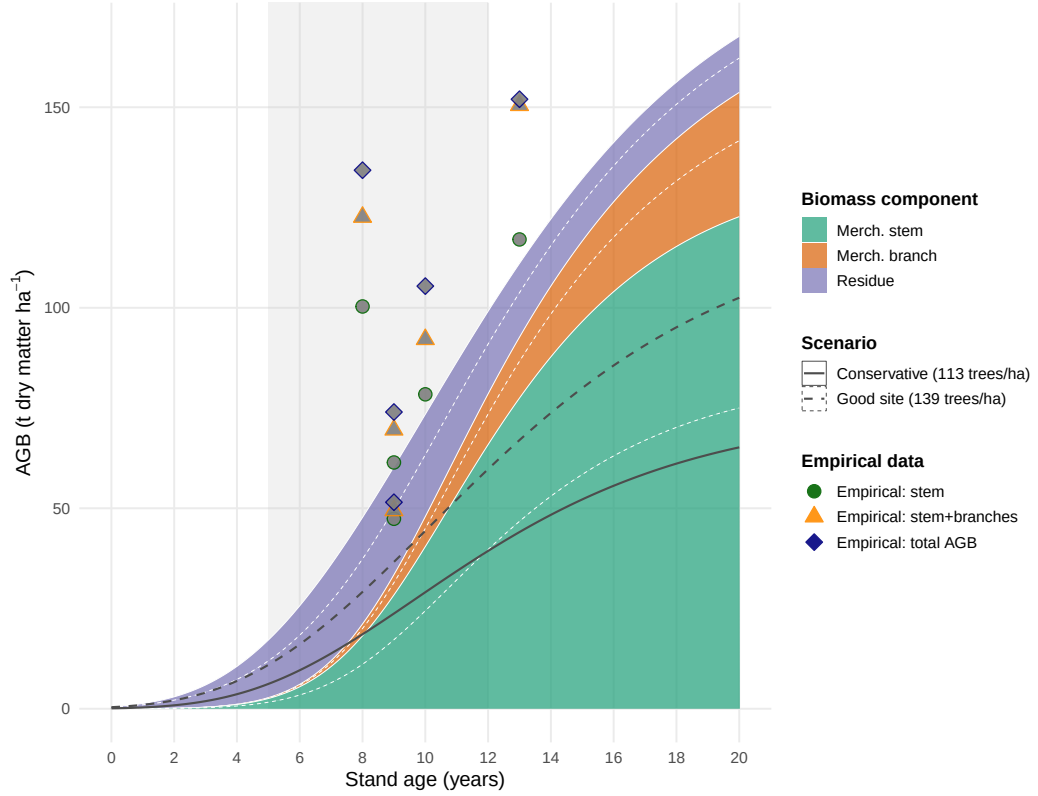


Figure 2: Stand-level aboveground biomass components for poplar under AFS management, modelled via a density-dependent Gompertz stand model with linear compartment fractions and logistic diameter-class merchantability (Eq. 6). Shaded stacked areas: merchantable stem (green), merchantable branches (orange), and residues (purple). Solid and dashed outlines correspond to the conservative (113 trees ha^{-1}) and good-site (139 trees ha^{-1}) scenarios, respectively. Empirical AGB observations compiled from Jha (2018), Civitarese et al. (2019), and Niemczyk and Thomas (2021) are overlaid as symbols (circles: stem cumulative; triangles: stem+branches; diamonds: total AGB). Grey band: typical medium-rotation harvest window (5–12 years).

optimise facility locations and capacities, biomass sourcing patterns, multimodal transport flows, and inventory policies under cost or profit objectives, sometimes augmented by greenhouse gas emission indicators (Ekşioğlu et al., 2009; Arabi et al., 2019). A key methodological feature of the more advanced formulations is the integration of long-term network design with multi-period logistics, enabling simultaneous optimisation of infrastructure and operational decisions across seasonal or annual time steps (Ekşioğlu et al., 2009; Zahraee et al., 2020).

Among generic multi-product frameworks, OPTIMASS explicitly models product quality cascades by defining a hierarchy of biomass classes and allowing higher-quality products to satisfy lower-quality demands, while the t-OPTIMASS extension incorporates biomass growth and regeneration over multiple periods (De Meyer et al., 2014, 2016). However, in virtually all existing formulations biomass availability is treated as an exogenous time-series input: stand age structure, rotation decisions, and coppice cycles are not represented endogenously, so that trade-offs between rotation length, stand management, and supply chain configuration cannot be explored in a unified model (De Meyer et al., 2016; Lamers et al., 2011). This gap is particularly pronounced for agroforestry systems with repeated coppice cycles, where establishment timing, consecutive harvest decisions, and age-dependent biomass quality jointly determine both the feasible supply profile and the achievable product cascade.

The MILP formulation developed in this paper addresses this gap by endogenising stand age dynamics through binary age-lag variables, coupling the component-specific yield coefficients η_{pa} derived from the Gompertz growth models above with supply chain flow variables, and embedding a product quality cascade that allocates stem, branch, and residue fractions to chemical, pulp, and energy markets within a single optimisation model.

2.4. Biomass supply chain design

The design and planning of biomass supply chains has attracted substantial research attention over the past two decades, driven by the need to ensure cost-efficient and sustainable feedstock provision for bioenergy and biorefinery applications. Several systematic reviews provide comprehensive overviews of this literature. Cambero and Sowlati (2014) survey economic, social, and environmental assessment and optimisation studies

for forest biomass supply chains, identifying MILP as the dominant modelling approach and noting a growing trend towards multi-objective formulations integrating life cycle assessment.

Yue et al. (2014) review biomass-to-bioenergy and biofuel supply chain models with a focus on multi-scale modelling, uncertainty treatment, and sustainability metrics, and conclude that the coupling of upstream feedstock dynamics with downstream network design remains an underexplored area. Malladi and Sowlati (2018) survey logistics-specific features of biomass supply chain models—seasonal availability, moisture content degradation, preprocessing steps—and highlight that most models treat biomass as a homogeneous commodity, neglecting quality differentiation. Zahraee et al. (2020) provide a recent meta-review of 140+ studies, confirming that cost minimisation is still the dominant objective, and that multi-product cascading formulations are rare.

The structure of biomass supply chain models typically encompasses three decision layers: (i) strategic network design (facility location, capacity sizing, technology selection), (ii) tactical planning (harvest scheduling, seasonal flows, inventory), and (iii) operational routing. The following paragraphs discuss key individual contributions and their specific methodological advances.

Ekşioğlu et al. (2009) develop one of the earliest large-scale MILP models for biomass-to-biorefinery supply chain design, integrating facility location, capacity sizing, and multimodal transport for lignocellulosic feedstocks. Their model minimises total system cost and introduces binary facility-opening variables that have since become standard in the field. A key limitation, however, is that biomass supply is treated as an exogenous input, so feedstock availability is not endogenised as a function of land-use or growth decisions. Mansoornejad et al. (2013) extend the strategic design perspective to forest biorefineries by integrating product portfolio design with supply chain configuration in a single MILP. Their model explicitly accounts for product conversion efficiencies along different processing pathways, enabling joint optimisation of process technology selection and logistics.

De Meyer et al. (2014) introduce the OPTIMASS framework, a generic MILP for biomass-based supply chain optimisation that explicitly models product quality cascades: higher-quality biomass classes can substitute for lower-quality demands down-

stream, whereas the reverse is infeasible. This cascade hierarchy, formalised through ordered product sets, is particularly relevant for woody biomass where stem, branch, and residue fractions command different market prices. The companion t-OPTIMASS extension (De Meyer et al., 2016) incorporates temporal dynamics by explicitly representing biomass growth and regeneration over multiple periods, enabling simultaneous optimisation of harvest timing and network flows. However, in both OPTIMASS formulations the growth dynamics are represented as exogenous time-series rather than as age-structured stand models, so rotation-length decisions and age-dependent biomass quality are not endogenised. Arabi et al. (2019) demonstrate multi-period MILP extensions for bio-based supply chains with production dynamics, but focus on microalgae rather than woody biomass and do not address product quality cascades.

Sharma et al. (2013) identify supply-side uncertainty (yield variability, seasonal availability, moisture content) as the most critical source of risk in biomass supply chains. In response, a strand of literature has developed stochastic and robust optimisation extensions. Zahraee et al. (2020) document that two-stage stochastic MILP and robust optimisation approaches now account for roughly 30% of the modelling literature, with biomass yield uncertainty and price volatility as the dominant stochastic parameters.

Biomass supply chain research focusing specifically on agroforestry or SRC contexts is comparatively sparse. Espinoza et al. (2017) note that most supply chain models assume continuous feedstock availability and do not represent the periodic harvest cycles characteristic of coppice systems. Lamers et al. (2011) analyse feedstock design principles for lignocellulosic supply chains and argue that the allocation of different biomass fractions to valorisation pathways—product cascading—is a key lever for economic viability, yet is rarely optimised jointly with network design decisions. The model developed in Section~3 of this paper directly addresses this gap by endogenising stand age dynamics through binary age-lag variables and coupling component-specific yield coefficients with a product quality cascade.

Table~2 summarises the key modelling features of the reviewed contributions.

Table 2: Key modelling features of selected biomass supply chain design studies.

Study	Objective	Multi-product	Quality cascade	Age dynamics	Uncertainty	Level
Eksioglu et al. (2009)	Cost min.	—	—	—	—	Strategic
Sharma & Taaffe (2013)	Cost min.	Partial	—	—	—	Strategic/Tactical
Mansoornejad et al. (2013)	Profit max.	✓	—	—	—	Strategic
Cambero & Sowlati (2014)	Cost/GHG/jobs	—	—	—	Stochastic	Strategic
Yue et al. (2014)	Cost/GHG	✓	—	—	—	Multi-scale
De Meyer et al. (2015)	Cost min.	✓	✓	Exogenous	—	Strategic/Tactical
De Meyer et al. (2016)	Cost min.	✓	✓	Exogenous TS	—	Multi-period
Lamers et al. (2015)	Cost/quality	✓	Partial	—	Scenario	Strategic
Espinoza et al. (2017)	Sustainability	✓	—	—	Scenario	Strategic
Malladi & Sowlati (2018)	Cost min.	Partial	—	—	—	Tactical/Oper.
Arabi et al. (2019)	Profit max.	✓	—	Exogenous	—	Multi-period
Zahraee et al. (2020)	Multi-obj.	✓	—	—	Stochastic	Strategic/Tactical
This paper	NPV max.	✓	✓	Endogenous	Scenario	Strategic/Multi-period

3. MILP Model for Agroforestry Supply Chain Design

Building on the biomass growth models introduced in Section 2.2 and the supply chain design literature reviewed in Section 2.3, this section describes the AFS supply chain design problem (AFS-SCD), a mixed-integer linear programming (MILP) model for the integrated design and operation of an agroforestry biomass supply chain. The model endogenises stand age dynamics through binary age-lag variables, couples the component-specific yield coefficients η_{pa} derived from the Gompertz growth models (??)–(??) with supply chain flow variables, and assigns AFS biomass types (i.e., stem, branch, and residue fractions) to potential consumers in chemical, pulp and paper as well as energy industry.

3.1. Sets, Indices, and Time Structure

The model considers a set of agroforestry sites $\mathcal{I}$, storage/pre-treatment facilities $\mathcal{J}$, consumer sites $\mathcal{K}$, and biomass types $\mathcal{P} = \{\text{stem}, \text{branches}, \text{residues}\}$, whose growth

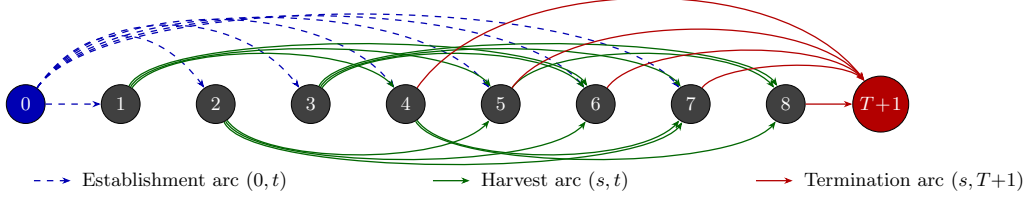


Figure 3: Network structure of set $\mathcal{S}$ for $T = 8$, $A_{\min} = 3$, $A_{\max} = 5$. Dashed blue arcs: establishment arcs $(0, t)$, $t \in \{1, \dots, T-1\}$. Solid green arcs above: harvest arcs (s, t) with odd s ; below: harvest arcs with even s . Solid red arcs: termination arcs $(s, T+1)$, $s \in \{A_{\min} + 1, \dots, T\}$.

models are outlined above in (??)–(??). Time is discretised into annual periods $t \in \mathcal{T} = \{1, \dots, T_{\max}\}$. To model flexible harvest timing according to typical rotation structures of SRAFS and LRAFS, $A^{\min}$ and $A^{\max}$ define minimum and maximum stand ages. Thus, harvest are possible in periods $\mathcal{T}^{\text{harv}} = \{A^{\min} + 1, \dots, T_{\max}\}$. To consistently model establishment and consecutive harvest decisions, the following arc sets are defined: $\mathcal{S}^{\text{est}}$ defines potential establishments of AFS. If an AFS is established in period $t \in \mathcal{T}$, arc $(0, t)$ is selected. Harvest set $\mathcal{S}^{\text{harv}}$ summarizes all potential consecutive harvest periods within the age-lag bounds $A^{\min}$ and $A^{\max}$. I.e., if an AFS is established or harvested in period s and next harvest is in period t , arc (s, t) is selected. Finally, there is no subsequent harvest after period t , the AFS is terminated by selecting arc $(t, T^{\max} + 1)$. Termination arcs are summarized in set $\mathcal{S}^{\text{term}}$. All arc sets are formally defined as follows:

$$\begin{aligned}\mathcal{S}^{\text{est}} &= \{(0, t) \mid t \in \{1, \dots, T^{\max} - A^{\min}\}\}, \\ \mathcal{S}^{\text{harv}} &= \{(s, t) \mid s, t \in \mathcal{T} \wedge t - s \in \{A^{\min}, \dots, A^{\max}\}\}, \\ \mathcal{S}^{\text{term}} &= \{(s, T^{\max} + 1) \mid s \in \{A^{\min} + 1, \dots, T_{\max}\}\}, \\ \mathcal{S} &= \mathcal{S}^{\text{est}} \cup \mathcal{S}^{\text{harv}} \cup \mathcal{S}^{\text{term}}.\end{aligned}$$

Figure 3 illustrates this network structure of all arc sets for $T = 8$, $A^{\min} = 3$, $A^{\max} = 5$.

3.2. Decision Variables

Binary variables z_{ist} indicate whether an arc from set $(s, t) \in \mathcal{S}$ is selected for site i , indicating establishment, (consecutive) harvest, or termination. Taken together across all arcs, these variables trace a path of consecutive harvest cycles at each site over the

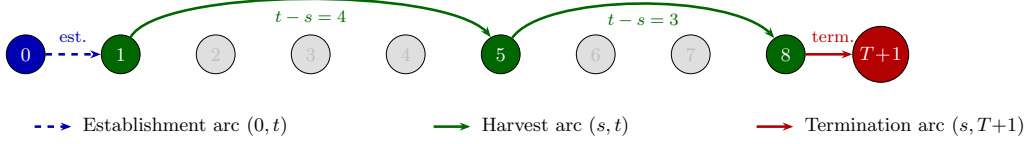


Figure 4: Example of a feasible path through the network for $T = 8, A_{\min} = 3, A_{\max} = 5$: establishment in period 1, harvests in periods 5 and 8, termination at $T + 1$.

342 planning horizon. Figure 4 illustrates a feasible path corresponding to the establishment
 343 of an AFS in period 1 and harvests in periods 5 and 8, whereby the harvest in $t = 8$ is
 344 final (and AFS is terminated, thus).

345 When a AFS is harvested in period t , continuous variables $Y_{ipt} \geq 0$ represent the
 346 harvest quantity (t) of product p at site i . Flow variables X_{ijpt} and $X_{jkpp't}$ represent
 347 transport of products from AFS sites to storage/pre-treatment facilities and from there
 348 to consumers, respectively, while S_{jpt} captures end-of-period inventory at facility j .

349 Table 3 summarises all sets, decision variables, and parameters used in the MILP
 350 formulation. Symbols shared with the growth model of Section 2.2 — in particular the
 351 yield coefficients η_{pa} , which are derived from the component-specific Gompertz functions
 352 (??)–(??) and the stand biomass model (??) — are listed in Table ?? in Section 2.2.

353 3.3. Objective Function

354 As discussed in Section 2.1, the economic attractiveness of AFS supply chains must be
 355 assessed from a global perspective taking into account all processes, activities, and partic-
 356 ipants involved in finally serving customer markets with bio-based feedstocks. Therefore,
 357 revenues for the different biomass fractions and must be weighed against costs occurring
 358 at all value-adding stages of the supply chains. To be precise, revenues created by selling
 359 AFS-based feedstocks to different industrial consumers are counterweighted by establish-
 360 ment, opportunity, harvest, transport, and storage costs of landowners, agricultural firms
 361 as well as biomass logistics companies. The model therefore maximises total contribution

margin of all participants in the AFS supply chain over the planning horizon as follows:

$$\begin{aligned}
\max Z = & \sum_{k \in \mathcal{K}, p \in \mathcal{P}} R_{kp} \cdot \sum_{j \in \mathcal{J}, (p', p) \in \mathcal{Q}, t \in \mathcal{T}} X_{jkp't} \\
& - \sum_{i \in \mathcal{I}} c_i^{est} \cdot AREA_i \cdot \sum_{(0, t) \in \mathcal{S}^{est}} z_{i0t} \\
& - \sum_{i \in \mathcal{I}} c_i^{opp} \cdot AREA_i \cdot \left(\sum_{(s, T+1) \in \mathcal{S}^{term}} (s+1) \cdot z_{is(T+1)} - \sum_{(0, t) \in \mathcal{S}^{est}} t \cdot z_{i0t} \right) \\
& - \sum_{i \in \mathcal{I}} c_i^{main} \cdot (t-s) \cdot AREA_i \cdot \sum_{(s, t) \in \mathcal{S}^{harv}} z_{ist} \\
& - \sum_{i \in \mathcal{I}} c_i^{harv} \cdot AREA_i \cdot \sum_{(s, t) \in \mathcal{S}^{harv}} z_{ist} \\
& - \sum_{i \in \mathcal{I}, j \in \mathcal{J}, p \in \mathcal{P}, t \in \mathcal{T}} c_p^{tr-raw} \cdot d_{ij} \cdot X_{ijpt} \\
& - \sum_{j \in \mathcal{J}, k \in \mathcal{K}, (p, p') \in \mathcal{Q}, t \in \mathcal{T}} c_{p'}^{tr-pre} \cdot d_{jk} \cdot X_{jkpp't} \\
& - \sum_{j \in \mathcal{J}, p \in \mathcal{P}, t \in \mathcal{T}} c_j^{stor} \cdot S_{jpt}
\end{aligned} \tag{7}$$

Here, R_{kp} are product- and consumer-specific revenues (€/t). The opportunity cost term penalises dereduced crop revenues in each year an AFS is established. Transport cost terms mirror the two-stage flow structure of the AFS supply chain with differentiated rates for raw and pre-treated biomass depending on the biomass type. Cost rates differ because as e.g. the density and water content of the shipped biomasses differ or because specialized equipment (e.g. for log transports) is used [REFERENCES]. Moreover, site-specific establishment cost for planting the AFS trees is considered, next to yearly maintenance costs and harvesting cost. All these costs scale with the size of a site ($AREA_i$) measured in hectar. Maintenance cost comprise e.g. costs for trimming, replanting, and pruning unnecessary shoots. Storage costs are considered if biomasses are stored for more than a year to compensate direct costs (e.g. for storage site maintenance) but primarily opportunity cost due to potential material losses and capital commitment. The usual case is that AFS are harvested at the beginning of a year. Harvested biomass dry during spring and summer such that the biomasses can be used in autumn or winter the same year. As drying is necessary for most industrial applications and beneficial for transport economics, drying storage in the year of harvest is not associated with

379 additional cost.

380 3.4. Constraints

381 Constraints (8) limit each site to at most one establishment decision over the plan-
382 ning horizon. Constraints (9) enforce flow conservation in each period. If an activity
383 in period $t \in \mathcal{T}$ takes place, there needs to be a preceeding activity (harvest or estab-
384 lishment) and a succeeding activity (harvest or termination). This way, (9) guarantee
385 valid (possibly empty) activity paths over the complete time horizon for each site. Con-
386 straints (10) links the binary harvest-cycle variables to physical yield quantities via the
387 age-dependent yield coefficients $\eta_{p(t-s)}$. These coefficients are pre-computed by evalu-
388 ating the component-specific Gompertz functions (??) and (??) at stand age $a = t - s$
389 and scaled by site area AREA_i . Thus, implicitly we assume constant yields per hec-
390 tar for each site i . Note that this simplification can be dropped and site-specific yields
391 $\eta_{ip(t-s)}$ could be introduced without increasing numerical complexity of the AFS-SCD
392 . Constraints (??)–(11) link harvest quantities to transport flows and ensure inventory
393 balance at each facility, following the multi-period network-flow structure of OPTIMASS
394 (De Meyer et al., 2014, 2016). Thereby, harvest quantities can be smaller than available
395 AFS biomasses allowing partial harvesting. Constraints (12)–(13) enforce storage and
396 processing capacity limits at each facility j . Constraints (14) implement product usage at
397 multiple consumption sites k . Thereby, $(p', p) \in \mathcal{Q}$ defines a product mapping allowing
398 high-quality product p' (e.g. stems) satisfying demand of a lower-quality products p up
399 to maximum demand $D_{kpt}^{\max}$. This way, the cascading principle is operationalized as a
400 central economic rationale.

$$\sum_{(0,t) \in \mathcal{S}^{est}} z_{i0t} \leq 1 \quad \forall i \in \mathcal{I} \quad (8)$$

$$\sum_{(s,t) \in \mathcal{S}} z_{ist} = \sum_{(t,u) \in \mathcal{S}} z_{itu} \quad \forall i \in \mathcal{I}, t \in \mathcal{T} \quad (9)$$

$$\sum_{j \in \mathcal{J}} X_{ijpt} \leq \sum_{(s,t) \in \mathcal{S}^{harv}} \eta_{p(t-s)} \cdot \text{AREA}_i \cdot z_{ist} \quad \forall i \in \mathcal{I}, p \in \mathcal{P}, t \in \mathcal{T}^{harv} \quad (10)$$

$$S_{jpt} = S_{jp,t-1} + \sum_{i \in \mathcal{I}} X_{ijpt} - \sum_{k \in \mathcal{K}, (p,p') \in \mathcal{Q}} X_{jkpp't} \quad \forall j \in \mathcal{J}, p \in \mathcal{P}, t \in \mathcal{T}^{harv} \quad (11)$$

$$\sum_{p \in \mathcal{P}} S_{jpt} \leq \text{CAP}_j^{stor} \quad \forall j \in \mathcal{J}, t \in \mathcal{T} \quad (12)$$

$$\sum_{i \in \mathcal{I}, p \in \mathcal{P}} X_{ijpt} \leq \text{CAP}_j^{proc} \quad \forall j \in \mathcal{J}, t \in \mathcal{T}^{harv} \quad (13)$$

$$\sum_{j \in \mathcal{J}, (p',p) \in \mathcal{Q}} X_{jkp'pt} \leq D_{kpt}^{\max} \quad \forall k \in \mathcal{K}, p \in \mathcal{P}, t \in \mathcal{T}^{harv} \quad (14)$$

$$z_{ist} \in \{0, 1\} \quad \forall i \in \mathcal{I}, (s, t) \in \mathcal{S} \quad (15)$$

$$Y_{ipt}, X_{ijpt}, X_{jkp'pt}, S_{jpt} \geq 0 \quad \forall i, j, k, p, p', t \quad (16)$$

401 The yield coefficients η_{pa} in (10) are the critical bridge between the stand-level growth
 402 model of Chapter~2 and the supply chain optimisation. For stand age $a = t - s$ and
 403 product component p , they are computed as:

$$\eta_{pa} = f_p(a) \cdot M^{sl}(a) = \frac{h_p(a)}{\sum_{p'} h_{p'}(a)} \cdot a^\infty \cdot e^{-e^{-b'^1 \cdot (a-\tau)}}, \quad (17)$$

404 where $M^{sl}(a)$ follows from (??) and $f_p(a)$ follows from (??). For poplar clone Max~3 un-
 405 der SRAFS conditions, the component-specific Gompertz parameterisations from Section
 406 2.2 imply that $\eta_{stem,a}$ rises steeply between ages~4 and 10, while $\eta_{branch,a}$ and $\eta_{residue,a}$
 407 plateau earlier, as illustrated in Figure~??. This age-dependence of product fractions is
 408 the core mechanism through which rotation-length decisions — governed by $A^{\min}$ and
 409 $A^{\max}$ and the arc set $\mathcal{S}$ — determine achievable product portfolios and, hence, revenues
 410 in the objective function (7).

411 4. Case Study

412 The proposed MILP model is intended to support the design of agroforestry biomass
413 supply chains for cleaner production in specific regional contexts. In a forthcoming case
414 study, we focus on poplar-based alley-cropping systems in a temperate European setting,
415 informed by empirical data from SRAFS trials in Southern Germany and SRC plantations
416 in Central Europe (Huber et al., 2018; Trnka et al., 2008; Testa et al., 2014).

417 4.1. Study Region and Supply Chain Configuration

418 The proposed AFS-SCD model is instantiated on a real-world biomass supply chain lo-
419 cated in the tri-state region of Saxony-Anhalt, northern Thuringia, and northern Saxony,
420 Germany (Figure 5). This region combines the highest density of registered short-rotation
421 coppice (SRC) Feldblöcke in eastern Germany with a cluster of major wood-processing
422 industries that collectively represent one of the largest forest-based biomass demand cen-
423 tres in Central Europe. The spatial extent of the study region covers approximately
424 250×200 km, with road distances between potential KUP sites and consumer locations
425 ranging from under 10 km to over 180 km.

426 The supply chain comprises three node types: (i) KUP production sites $\mathcal{I}$, (ii) pre-
427 treatment and intermediate storage facilities $\mathcal{J}$, and (iii) consumer sites $\mathcal{K}$. Candidate
428 KUP sites are drawn from the official Feldblock register of Saxony-Anhalt, filtered to
429 parcels with a minimum area of 1 ha and classified as potentially suitable for SRC
430 under the InVeKoS land-use scheme. Following the two-stage spatial clustering procedure
431 described in Section-??, the $|\mathcal{I}| = 2239$ raw Feldblöcke are grouped into K super-sites
432 using DBSCAN ($\varepsilon = 15$ km, $minPts = 3$) and Ward.D2 hierarchical clustering (maximum
433 within-cluster radius 15 km), yielding a computationally tractable MILP instance while
434 preserving the total eligible area. The HAC cluster assignments, visible as distinct colour
435 zones in Figure 5, confirm a spatially coherent partitioning: dense KUP corridors along
436 the Elbe and Saale floodplains form contiguous super-sites, while isolated parcels in the
437 Harz foothills constitute smaller or singleton clusters.

438 Two types of intermediate infrastructure nodes are considered: conventional sawmills
439 and logistics hubs. Sawmills perform primary mechanical processing (debarking, chip-
440 ping) and can serve product streams P1 and P2; logistics hubs serve as consolidation

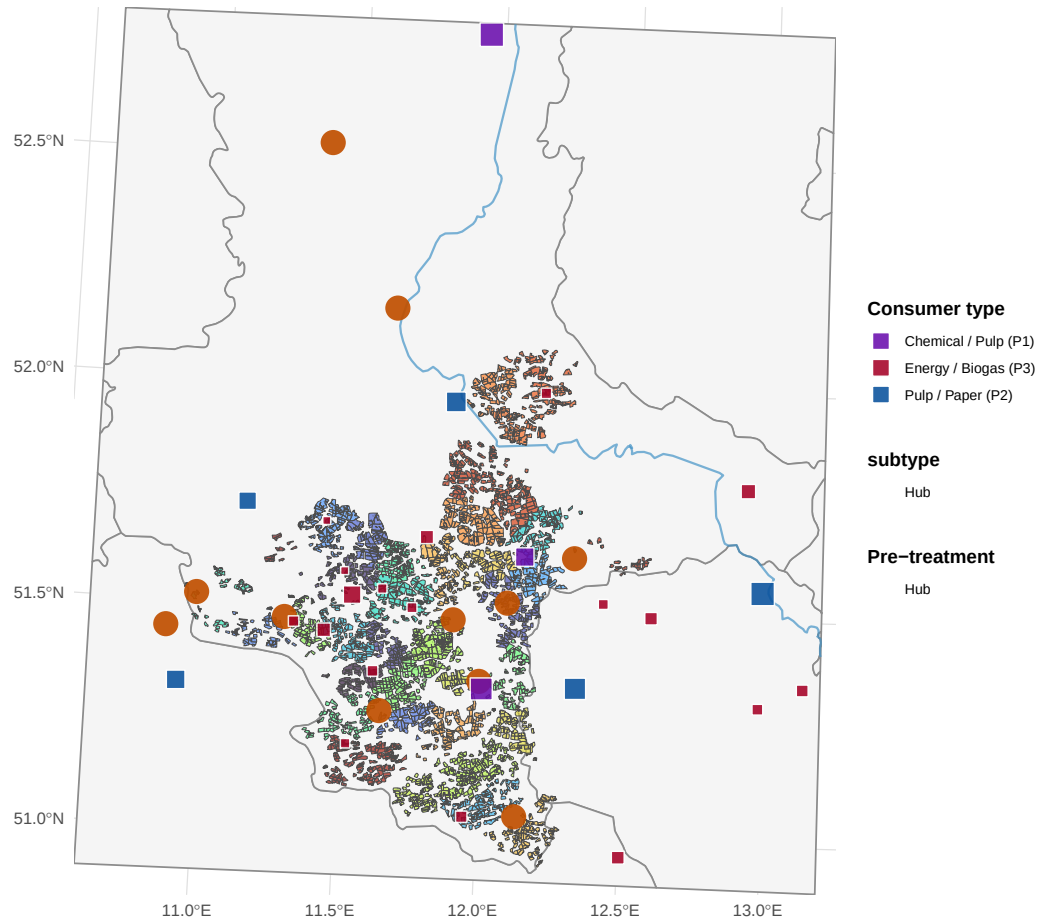


Figure 5: AFS supply chain network in Saxony-Anhalt. Grey lines: German federal state boundaries. Blue lines: major rivers. Coloured polygons: potential KUP/AFS sites grouped by HAC super-site (colours encode cluster membership; no legend). Orange symbols: pre-treatment facilities (circle = sawmill, triangle = logistics hub, size proportional to processing capacity). Coloured squares: consumer sites (violet: P1 chemical/pulp, blue: P2 pulp/paper, red: P3 energy/biogas, size proportional to total demand).

and temporary storage points for all three product grades and are characterised by lower capital intensity but limited processing capacity. The $|\mathcal{J}| = 11$ candidate storage/pre-treatment locations are sourced from publicly registered forestry enterprises and existing logistic nodes in the study region. Road distances d_{ij} (site i to storage j) and d_{jk} (storage j to consumer k) are computed via the OSRM open-source routing engine using the German road network, providing realistic transport cost estimates that are embedded directly in the MILP objective.

4.2. Consumer Demand and Product Classification

Nine consumer sites are included in the base case ($|\mathcal{K}| = 9$), covering the full quality cascade from high-value chemical/pulp applications down to energy use (Table 4). Consumer demands $D_{kpt}^{\max}$ are derived from publicly reported annual throughput figures, production capacities, and regulatory filings, and are held constant across periods ($D_{kpt}^{\max} = D_{kp}^{\max} \forall t \in \mathcal{T}$) to reflect stable long-term offtake contracts.

Three biomass product grades are distinguished, reflecting the cascading-use principle embedded in the AFS-SCD objective:

- **P1 – Chemical/pulp grade** ($p = 1$): long-fibre hardwood chips suitable for chemical pulping and biorefinery conversion. Dominated by Mercer Stendal GmbH (Arneburg, 1{,}500 kt/yr) and Zellstoff Rosenthal/Mercer (Blankenstein, 1{,}000 kt/yr), which together account for 403% of total P1 demand. UPM Biochemicals (Leuna) contributes 500 kt/yr of high-purity beech-fraction demand for biochemical conversion. Gate prices for P1 range from 80 to 120 €/t wood input.
- **P2 – Sawlog/pulpwood grade** ($p = 2$): roundwood and chipped material suitable for mechanical processing in sawmills. Demand is distributed across six smaller facilities with individual annual demands of 5–300 kt/yr. Gate prices range from 55 to 75 €/t.
- **P3 – Energy/pellets grade** ($p = 3$): residual wood fractions (chips, bark, off-cuts) used for heat and electricity generation or pellet production. This grade absorbs material that cannot meet P1 or P2 quality thresholds, operationalising the cascade constraint in the MILP. Gate prices range from 30 to 40 €/t.

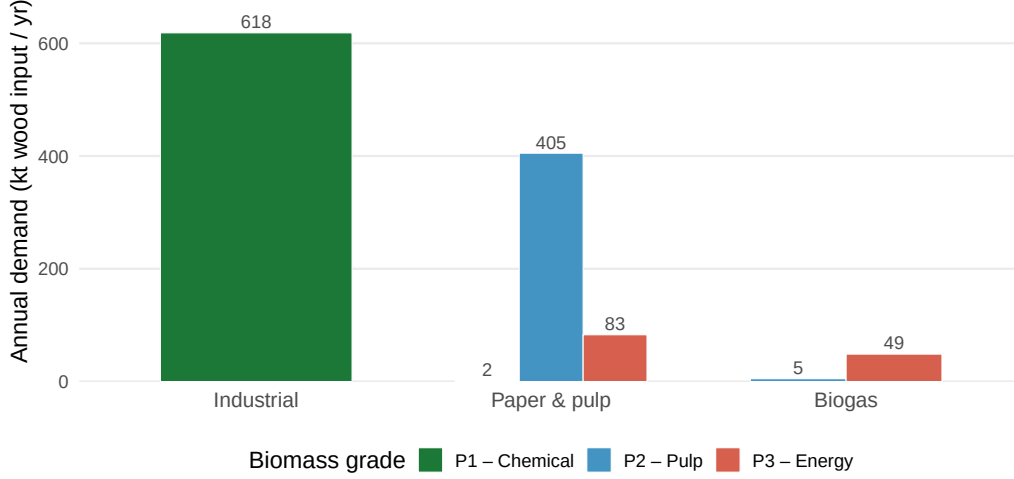


Figure 6: Total biomass demand by consumer type and grade (P1 chemical, P2 pulp & paper, P3 energy/biogas). Bars show aggregated annual demand in kt wood input per year across all individual plants within each consumer type.

470 The demand derivation follows a three-step procedure. First, publicly available ca-
 471 pacity data (kt wood input per year) are collected for each facility from official sources,
 472 industry reports, and corporate disclosures (Mercer Stendal GmbH, 2024; UPM Bio-
 473 chemicals, 2024). Second, the total annual capacity is assigned to the product grade that
 474 corresponds to the primary feedstock of each facility (P1 for chemical/biorefinery pro-
 475 cesses, P2 for mechanical sawmilling, P3 for thermal conversion and pellet lines). Third, a
 476 minor P3 component is added to sawmill facilities to capture by-product streams (bark,
 477 sawdust), consistent with observed industrial practice. The resulting demand matrix
 478 $D_{kp}^{\max}$ (kt/yr) is shown in Figure 6 and summarised in Table 4. Aggregate demand across
 479 the study region totals 620.5 kt/yr for P1, 410 kt/yr for P2, and 131.7 kt/yr for P3.

480 4.3. MILP Model Parameters

481 Table 5 summarises all scalar parameters of the AFS-SCD instance. The planning
 482 horizon covers $|\mathcal{T}| = 15$ periods, corresponding to one full poplar rotation (years 1–15),
 483 with a minimum harvest age $a^{\min} = 4$ and maximum productive stand age $a^{\max} =$
 484 15 (Lehmkuhl et al., 2023). Biomass yield functions η_{pa} (odt ha⁻¹ yr⁻¹) follow the
 485 age-structured Chapman-Richards profile calibrated in Section~??, where distinct yield

curves are assigned to each product grade to reflect the fraction of stem, branch, and foliage biomass that qualifies under each quality threshold.

Transport costs are disaggregated into two components reflecting the two-echelon logistics structure. Raw material transport from site i to pre-treatment facility j incurs a variable cost $c^{tr-raw} \cdot d_{ij}$ ($\text{€ t}^{-1} \text{ km}^{-1}$), while processed material transport from j to consumer k is costed at $c^{tr-pre} \cdot d_{jk}$. The pre-treatment rate c^{tr-pre} is set lower than c^{tr-raw} to reflect the higher load density and standardised packaging of chipped and pelletised material compared to loose roundwood. An opportunity cost parameter c^{opp} ($\text{€ ha}^{-1} \text{ yr}^{-1}$) accounts for foregone agricultural revenue on converted parcels, calibrated to the average arable land rental rate in Saxony-Anhalt (Statistisches Bundesamt (Destatis), 2023). Storage capacity at each facility j is bounded by $\bar{S}_j$, and processing capacity by $\bar{C}_j$ (kt yr^{-1}), both drawn from publicly available facility data.

4.4. Optimization results

5. Conclusion

6. Appendix

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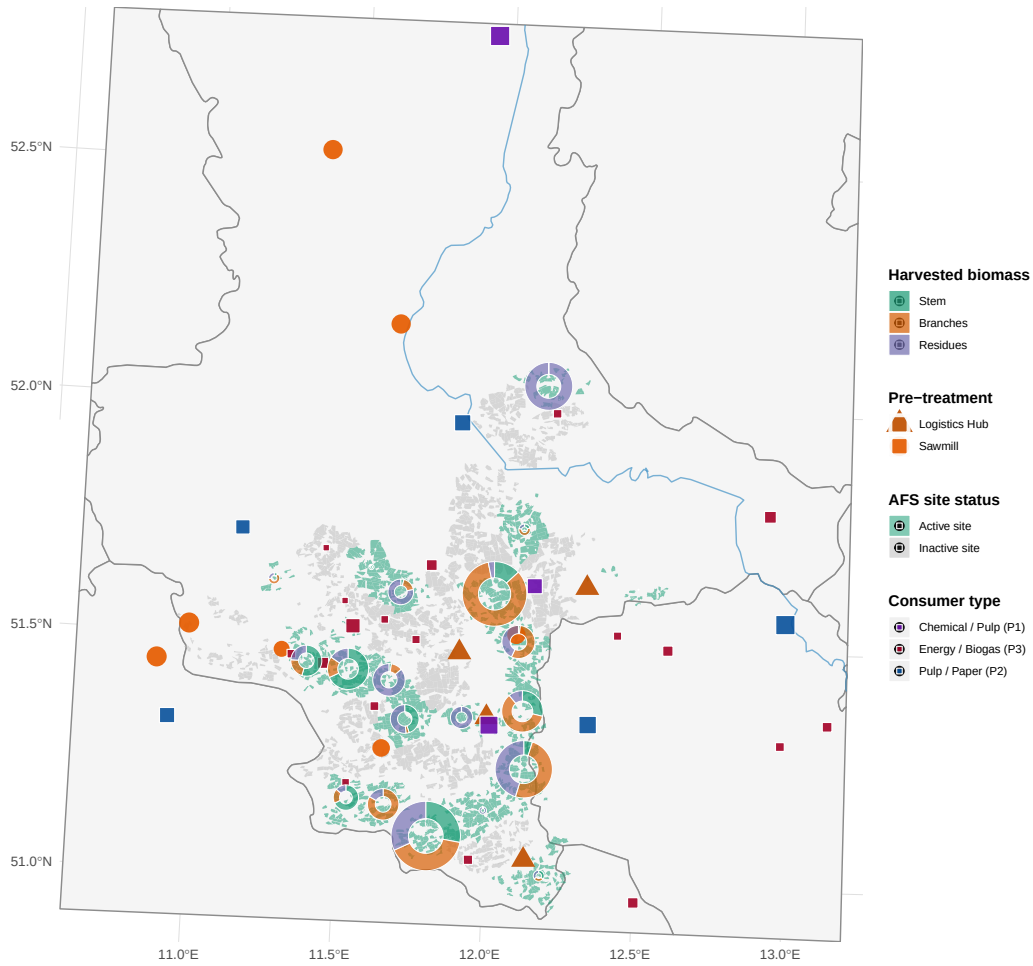


Figure 7: Optimal agroforestry supply chain network. Green polygons: active super-sites with biomass harvest; grey polygons: non-selected sites. Pie charts at active sites show the product mix of harvested biomass (stem = P1, branches = P2, residues = P3), scaled by total harvested volume. Orange symbols: pre-treatment facilities (circle = sawmill, triangle = logistics hub). Coloured squares: consumer sites by dominant demand category.

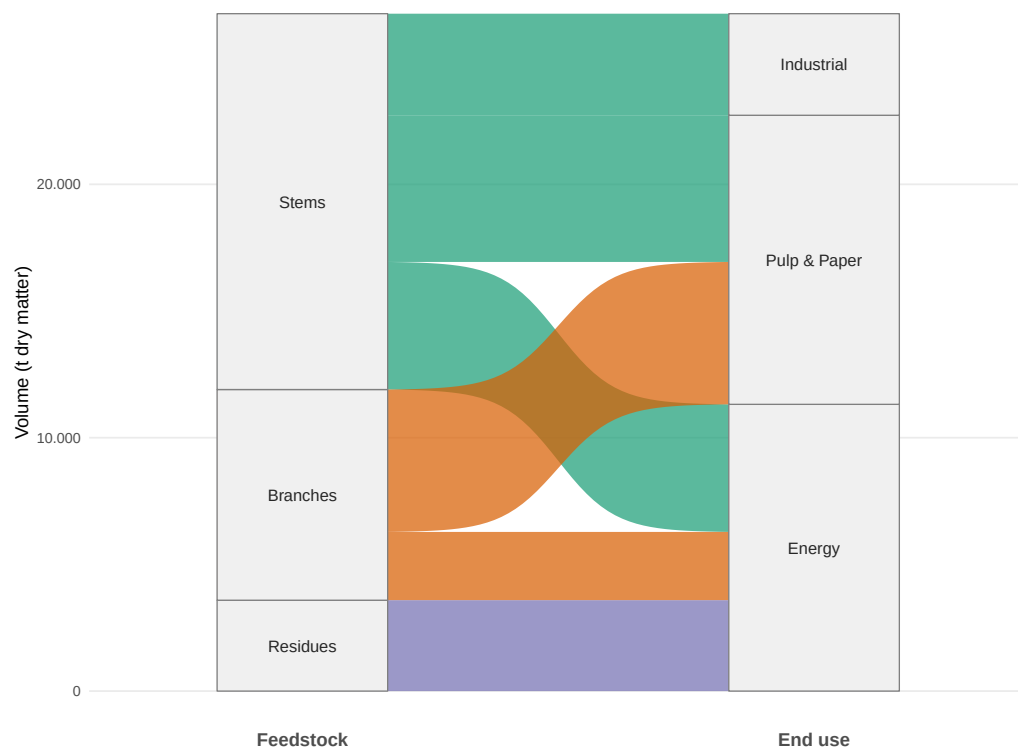


Figure 8: Total production quantity of biomass types and its industrial usage over planning horizon (in tons).

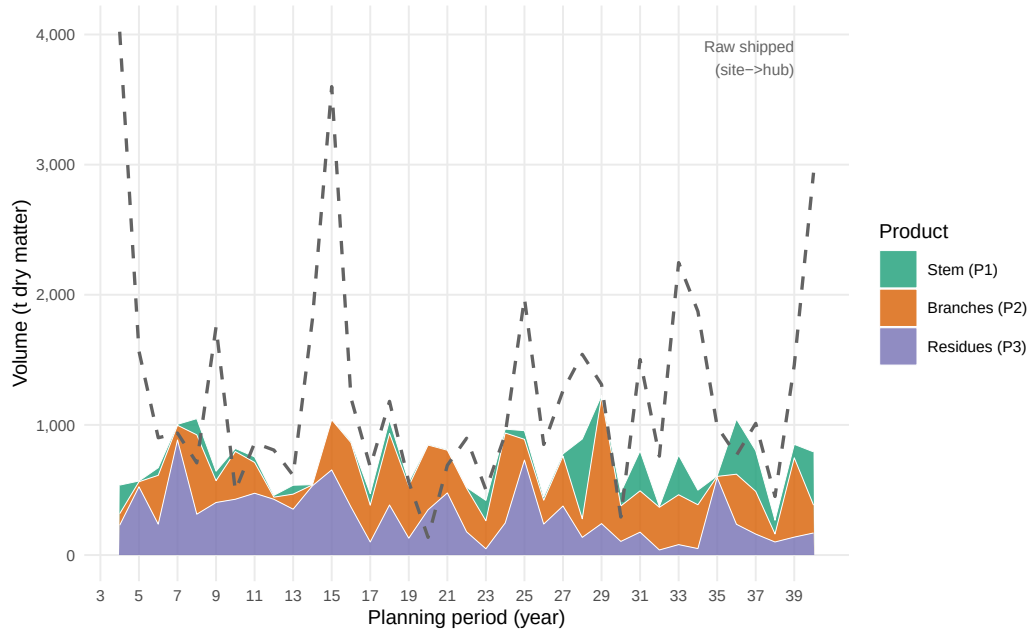


Figure 9: Total biomass delivered to consumers by product type over the planning horizon. Stacked areas show period-level volumes of stem (P1), branches (P2), and residues (P3) flowing from storage hubs to all consumers. Dashed line: total harvested raw biomass shipped from sites to hubs.



Figure 10: End-of-period inventory levels at storage/pre-treatment hubs, disaggregated by product type. Each panel corresponds to one active hub.

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Table 3: Notation for the MILP model.

Sets & Indices	
$i \in \mathcal{I}$	Agroforestry sites
$j \in \mathcal{J}$	Storage / pre-treatment facilities
$k \in \mathcal{K}$	Consumer sites
$p \in \mathcal{P}$	Product types (stem, branches, residues)
$(p, p') \in \mathcal{Q}$	Admissible product-substitution pairs (quality cascade)
$\mathcal{T} = \{1, \dots, T_{\max}\}$	Planning periods (years)
$\mathcal{T}^+ = \{0, \dots, T_{\max} + 1\}$	Extended time set incl. dummy nodes
$\mathcal{T}^{\text{harv}} = \{A^{\min} + 1, \dots, T_{\max}\}$	Feasible harvest periods
$\mathcal{S}^{\text{est}} = \{(0, t) \mid t \in \{1, \dots, T_{\max} - A^{\min}\}\}$	Establishment arcs: dummy source to period t
$\mathcal{S}^{\text{harv}} = \{(s, t) \mid s, t \in \mathcal{T}, t - s \in \{A^{\min}, \dots, A^{\max}\}\}$	Harvest cycles within age-lag bounds
$\mathcal{S}^{\text{term}} = \{(s, T_{\max} + 1) \mid s \in \{A^{\min} + 1, \dots, T_{\max}\}\}$	Termination arcs to dummy sink $T_{\max} + 1$
$\mathcal{S} = \mathcal{S}^{\text{est}} \cup \mathcal{S}^{\text{harv}} \cup \mathcal{S}^{\text{term}}$	Age-lag arc set (establishment $\cup$ harvest $\cup$ termination)
Decision Variables	
$z_{ist} \in \{0, 1\}$	1 if s and t are consecutive harvest cycles at site i
$Y_{ipt} \geq 0$	Harvest quantity (t) of product p at site i in period t
$X_{ijpt} \geq 0$	Transport flow (t) of p from site i to facility j in t
$X_{jkpp't} \geq 0$	Flow of p from facility j to consumer k satisfying demand p' in t
$S_{jpt} \geq 0$	Inventory (t) of product p at facility j end of period t
Parameters	
$T_{\max}$	Length of planning horizon (years)
$A^{\min}, A^{\max}$	Minimum / maximum stand age at harvest (years)
AREA_i	Area of site i (ha)
η_{pa}	Yield coefficient (t/ha) of product p at stand age a , derived from (??)–(??)
R_{kp}	Revenue (€/t) for product p at consumer k
C_i^{est}	Establishment cost (€/ha) at site i
C_i^{opp}	Annual opportunity cost (€/ha) at site i
C_i^{harv}	Harvest & refitting cost (€/ha) at site i
$c^{\text{tr-raw}}$	Transport cost rate (€/t km) for raw biomass
$c^{\text{tr-pre}}$	Transport cost rate (€/t km) for pre-treated biomass
c_j^{stor}	Storage holding cost (€/t) at facility j
d_{ij}, d_{jk}	Distance (km) between nodes
$\text{CAP}_j^{\text{stor}}$	Storage capacity (t) at facility j
$\text{CAP}_j^{\text{proc}}$	Processing throughput capacity (t/period) at facility j
$D_{kpt}^{\max}$	Maximum demand (t) of product p at consumer k in period t

Table 4: Consumer demand quantities and gate prices by product grade. P1: chemical/pulp; P2: sawlog/pulpwood; P3: energy/pellets. Demands in kt wood input per year; prices in €/t wood input at the factory gate.

Consumer	Annual demand			Gate price		
	P1 (kt/yr)	P2 (kt/yr)	P3 (kt/yr)	P1 (€/t)	P2 (€/t)	P3 (€/t)
consumer 1	300.0	–	–	100	–	–
consumer 2	100.0	–	–	120	–	–
consumer 3	–	300	50.0	–	75	40
consumer 4	200.0	–	–	95	–	–
consumer 5	–	30	5.0	–	70	35
consumer 6	–	15	5.0	–	65	35
consumer 7	–	10	3.0	–	60	30
consumer 8	–	5	8.0	–	55	30
consumer 9	2.0	50	20.0	80	70	38
consumer 10	–	–	1.7	–	–	35
consumer 11	–	–	2.9	–	–	35
consumer 12	–	–	2.5	–	–	35
consumer 13	–	–	2.3	–	–	35
consumer 14	–	–	1.9	–	–	35
consumer 15	–	–	2.7	–	–	35
consumer 16	–	–	1.7	–	–	35
consumer 17	–	–	1.9	–	–	35
consumer 18	–	–	1.6	–	–	35
consumer 19	–	–	1.5	–	–	35
consumer 20	–	–	1.5	–	–	35
consumer 21	–	–	1.8	–	–	35
consumer 22	–	–	3.5	–	–	35
consumer 23	–	–	1.6	–	–	35
consumer 24	–	–	2.1	–	–	35
consumer 25	–	–	4.5	–	–	35
consumer 26	–	–	1.8	–	–	35
consumer 27	–	–	3.2	–	–	35
consumer 28	18.5	–	–	55	–	–

Table 5: AFS-SCD base-case parameter values for the Saxony-Anhalt case study. Transport costs refer to road distance (OSRM). Gate prices are weighted averages across consumer sites.

Parameter	Description	Base-case value	Unit
Index sets			
$ \mathcal{T} $	Planning periods	15	yr
$ \mathcal{I} $	KUP super-sites (post-clustering)	K (clustering-dependent)	–
$ \mathcal{J} $	Pre-treatment / storage nodes	11	–
$ \mathcal{K} $	Consumer sites	9	–
$ \mathcal{P} $	Product grades	3	–
Biomass dynamics			
$a^{\min}$	Minimum harvest age (years)	4	yr
$a^{\max}$	Maximum stand age (years)	15	yr
Cost parameters			
c^{tr-raw}	Raw transport cost	0.08	€ t ⁻¹ km ⁻¹
c^{tr-pre}	Pre-processed transport cost	0.05	€ t ⁻¹ km ⁻¹
c^{opp}	Opportunity cost (foregone arable rent)	280	€ ha ⁻¹ yr ⁻¹
Revenue parameters			
$\bar{R}_{P1}$	Mean gate price P1	99	€ t ⁻¹
$\bar{R}_{P2}$	Mean gate price P2	69	€ t ⁻¹
$\bar{R}_{P3}$	Mean gate price P3	36	€ t ⁻¹